

FREE FOR SERIOUS HOSTS

47 Airbnb Tax Deductions Most Hosts Miss.

Every line item your CPA shouldn't have to ask you about — including the ones most hosts have never heard of. Built for short-term rental operators who'd rather keep their money than mail it to the IRS.

— A GUIDE FROM THE STR LEDGER

Two things sink most hosts at tax time.

First, hosts net cleaning and OTA fees against revenue, miscategorize a dozen expense rows, and hand their CPA a spreadsheet that doesn't roll up to Schedule E. The CPA bills three hours to clean it up.

Second, hosts skip depreciation. The single largest deduction available to a residential rental owner — and most don't take it because the math feels intimidating.

This guide is the antidote to both. Forty-seven deductions, organized by category, each with the Schedule E line, the IRS reference, the typical dollar range, and the reason it gets missed. Use it as a year-end checklist with your CPA, or pair it with the companion Excel checklist (free at thestrledger.com/47) and capture deductions as they happen.

Working draft. 20 of these 47 entries carry a **verify** flag — items where a current-year IRS rate, threshold, or rule must be confirmed against the IRS publication cited. The flag does not mean the deduction is wrong; it means the specific number on the page must be checked against this year's IRS publication before you act on it.

How to use this guide

1. Scan the section that matches what you'd want most: depreciation if you've never claimed it, advanced moves if your tax bill is too high.
2. For each entry, check the Schedule E line and the IRS reference. Look up the current-year version of the cited publication on irs.gov.
3. Open the companion Excel checklist. Mark each row "captured this year? Y/N" and log the dollar amount as you go.
4. Hand the populated checklist to your CPA in March. Watch them ask fewer questions and bill less.

Operating expenses

The obvious ones — most hosts still miscount.

01 Cleaning + maintenance fees paid to contractors

SCHED E LINE 8 · PUB 527 · \$3,000-\$15,000/yr

Many hosts net cleaning fees against rental income instead of recording them as a separate expense, which inflates revenue and triggers higher SE-tax exposure on the wrong base.

02 Repairs (vs. improvements — treated differently)

SCHED E LINE 15 · PUB 527 · \$1,000-\$8,000/yr

Patch a hole = repair (deduct now). Replace the roof = improvement (depreciate). Hosts conflate the two and either expense improvements (audit risk) or capitalize repairs (overpaid taxes).

03 Supplies + consumables ⚠️ VERIFY

SCHED E LINE 16 · PUB 527 · \$1,500+ per property

Toilet paper, paper towels, soap, shampoo, batteries, light bulbs, lock batteries. Add up over a year — easily \$1,500+ per property, often un-tracked.

04 Utilities — electric, gas, water, sewer, trash, propane

SCHED E LINE 18 · PUB 527 · \$1,800-\$6,000/yr

Hosts forget the utility deposit at startup (capitalizable or expensed depending on terms) and the back-bill catch-ups on seasonal properties.

05 Internet + cable + streaming services

SCHED E LINE 18 · PUB 527 · \$600-\$1,800/yr per property

WiFi for the rental, smart TV streaming subscriptions dedicated to the rental, security camera cloud storage.

06 Property insurance + STR-specific liability rider

SCHED E LINE 10 · PUB 527 · \$1,200-\$3,500/yr

Most hosts catch base insurance; many miss the STR endorsement and standalone short-term rental liability (Proper, Slice).

07 Supplemental commercial liability (above platform coverage)

SCHED E LINE 10 · PUB 527 · \$400-\$1,200/yr

Platform coverage has gaps. Standalone commercial liability premium is fully deductible — and most serious hosts should carry it.

08 Umbrella policy (rental-allocated portion)

SCHED E LINE 10 · PUB 527 · \$200-\$600/yr

Personal umbrella policies often have a rental-property allocation — only the rental-allocated portion is deductible.

09 HOA/COA dues + special assessments ⚠️ VERIFY

SCHED E LINE 17 OR 19 · PUB 527 · \$0-\$8,000/yr

Monthly dues are deductible. One-time special assessments may be capitalizable depending on what they fund (capital improvement to common area = capitalize).

10 Property tax + STR-specific local levies

SCHED E LINE 17 · PUB 527 · \$1,500-\$12,000/yr

Including occupancy tax license fees and STR registration fees (not the lodging tax itself, which is collected and remitted separately).

11 Mortgage interest (full Form 1098 amount) ⚠️ VERIFY

SCHED E LINE 13 · FORM 1098 / PUB 527 · \$8,000-\$25,000/yr

Catch the entire 1098 amount, not just principal+interest payments. Mortgage insurance premiums may also be deductible.

12 Mortgage points (amortized over loan life)

SCHED E LINE 13 · PUB 527 · \$50-\$500/yr

Points paid at closing are deducted over the life of the loan for rentals (different from primary residence). Often missed in year 1.

13 Other interest — HELOC + cards used for rental ⚠️ VERIFY

SCHED E LINE 14 · §163 / PUB 527 · Varies

HELOCs explicitly used to renovate or carry the rental, and credit cards used solely for rental expenses. Trace-the-funds rule applies.

Marketing, platform, and processing

Where revenue and listing investment intersect with deductibility.

14 OTA fees + platform commissions

SCHED E LINE 19 · PUB 535 · \$1,500-\$12,000/yr

Most hosts net platform fees from revenue rather than expensing them — same trap as netting cleaning fees — wrong revenue base, wrong tax.

15 Payment processing fees (Stripe / Square / PayPal)

SCHED E LINE 19 · PUB 535 · \$200-\$2,000/yr

Direct-booking hosts: every transaction's processing cut. Often unrecorded.

16 Listing photography (and 3D / video walkthroughs) ⚠️ VERIFY

SCHED E LINE 6 · PUB 535 · \$300-\$1,500 (one-time)

Professional photo shoot is straightforward to expense. Larger productions may cross into 'capitalize' territory — verify per situation.

17 Listing copy + SEO services

SCHED E LINE 6 · PUB 535 · \$100-\$500/yr

Hiring a copywriter, SEO consultant, or service to optimize the listing — all advertising-line deductible.

18 Paid ads — Google, Meta, Pinterest

SCHED E LINE 6 · PUB 535 · \$0-\$3,000/yr

Direct-booking hosts only. Google Ads to your own site, Facebook ads, Pinterest promoted pins.

Professional services

Expertise you pay for is fully deductible. Track it.

19 Property management fees

SCHED E LINE 12 · PUB 527 · 15-25% of gross

Often deducted automatically by the PM before payout — make sure your books reflect the gross-then-net, not just the net deposits.

20 Tax prep / CPA fees (Schedule E allocated portion)

SCHED E LINE 11 · PUB 535 · \$300-\$1,500/yr

The portion of your CPA bill that relates to Schedule E preparation. A good CPA will break this out on the invoice.

21 Bookkeeping fees

SCHED E LINE 11 · PUB 535 · \$1,200-\$6,000/yr

Monthly bookkeeping services (Bench, Pilot, freelance). Deductible in full when used for the rental business.

22 Legal fees (contracts, leases, eviction, entity setup) ⚠️ VERIFY

SCHED E LINE 11 · \$248 / PUB 535 · \$0-\$2,500/yr

Contract review, lease drafting, eviction, LLC formation costs (organizational costs may need amortization under \$248).

23 Consulting + coaching fees

SCHED E LINE 11 · PUB 535 · \$0-\$2,500/yr

STR coaching, business strategy, dynamic-pricing setup consultants, photographer site visits — all deductible.

Travel + vehicle

Every trip to the property has a deductible mile or hour behind it.

24 Mileage at the IRS standard rate ⚠️ VERIFY

SCHED E LINE 7 · PUB 463 · \$1,050-\$8,400+/yr

2026 IRS rate is 70¢/mile (verify before publish). Every supply run, vendor meeting, banking trip. 3,000 miles/yr × \$0.70 = \$2,100.

25 Vehicle actual costs (alternative to standard rate)

SCHED E LINE 7 · PUB 463 · Varies by mileage + vehicle

If actual costs exceed the standard rate, track gas, maintenance, depreciation, and insurance allocation. Choose one method per vehicle per year — switch rules apply.

26 Parking + tolls during business travel

SCHED E LINE 7 · PUB 463 · \$50-\$300/yr

On TOP of the standard mileage rate (these are not included in the per-mile amount).

27 Out-of-town travel — flights, hotels, rentals

SCHED E LINE 7 · PUB 463 · Varies

Travel to inspect, set up, or handle issues at a remote property is deductible with substantiation. Document business purpose for each trip.

28 Business meals while at the property (50%) ⚠️ VERIFY

SCHED E LINE 7 · §274 / PUB 463 · \$100-\$500/yr

50% of qualifying meals during business-purpose property visits. Substantiation: receipts + business purpose noted. Deductibility for landlord-only filers must be verified.

Depreciation — the biggest deduction most hosts skip

Buildings, improvements, furniture, and the cost-segregation lever.

29 Building depreciation — 27.5-year straight-line

SCHED E LINE 20 · PUB 946 · \$8,000-\$15,000+/yr

The single largest annual deduction for most rental properties. \$400K property, \$75K land = \$11,800/yr. Most hosts miss it because the math feels intimidating.

30 Improvements depreciation (15-yr or 5/7)

SCHED E LINE 20 · PUB 946 · \$500-\$5,000/yr

New flooring, roof, HVAC, kitchen renovation, deck — each improvement starts its own depreciation schedule on its own asset class.

31 Furniture + appliances depreciation (5-yr or §179) ⚠️ VERIFY

SCHED E LINE 20 · §179 / PUB 946 · \$1,500-\$8,000 in year-1

Beds, sofas, dining sets, refrigerators, washer/dryer. Often eligible for §179 immediate expensing up to current limits.

32 Bonus depreciation (§168(k)) ⚠️ VERIFY

SCHED E LINE 20 · §168(K) · Varies, very large in year-1

Bonus depreciation rate phases down on a schedule (was 100% through 2022, declining). Verify current-year percentage. Massive impact on year-1 tax bill, especially after a cost-seg study.

33 Cost segregation study (accelerates depreciation) ⚠️ VERIFY

SCHED E LINE 20 · PUB 946 · \$20K-\$80K year-1 boost

Reclassifies portions of the property (cabinets, lighting, landscaping) from 27.5-year to 5/7/15-year. Study costs \$3K-\$10K. Worth it on \$300K+ properties.

34 Land improvements depreciation (15-year)

SCHED E LINE 20 · PUB 946 · \$300-\$2,500/yr

Driveway paving, fencing, landscaping installation, exterior lighting, parking pad. Often missed because hosts lump them into general 'improvements.'

Advanced moves most hosts have never heard of

The STR loophole, the Augusta rule, QBI safe harbor, and friends.

35 STR Loophole — active vs. passive treatment ⚠️ VERIFY

SCHEDULE TREATMENT · IRC §469 · Saves \$5K-\$50K+ for high-W2 hosts

Avg guest stay ≤ 7 days + material participation (100+ hrs, more than anyone else) treats the rental as active — losses can offset W-2 / business income. Huge in year 1 with cost seg.

36 Pre-startup costs (deductible up to \$5K year-1) [⚠️ VERIFY](#)

SCHED E LINE 19 · IRC §195 · \$1,500–\$5,000 year-1

Costs incurred BEFORE the first guest checks in: scouting trips, market research, consultant fees, training. Most hosts capitalize these or skip entirely.

37 Organizational costs (LLC formation) [⚠️ VERIFY](#)

SCHED E LINE 19 · IRC §248 · \$300–\$1,500

\$5K first-year deduction for LLC formation costs (filing fees, legal, registered agent first year). Excess amortizes over 15 years.

38 Augusta Rule — rent your own home tax-free [⚠️ VERIFY](#)

PERSONAL RETURN · §280A(G) · \$5,000–\$15,000/yr

Rent your PERSONAL residence (not the rental) up to 14 days/yr to your own STR business — income is tax-free to you personally, deductible to the business. Documentation must be airtight.

39 Home office deduction [⚠️ VERIFY](#)

FORM 8829 / SCHED E LINE 19 · PUB 587 · \$500–\$3,000/yr

Dedicated room used regularly + exclusively for managing the STR. Two methods: simplified (\$5/sq ft up to 300 sq ft) or actual %. Rules differ for Schedule E vs. C filers.

40 Cell phone (business-use percentage)

SCHED E LINE 19 · PUB 535 · \$300–\$800/yr

Allocate the business-use percentage of your cell bill. 50% is a common defensible split for active hosts.

41 Home internet (business-use percentage)

SCHED E LINE 19 · PUB 535 · \$200–\$500/yr

% allocation of your home internet bill that's used for managing the STR. Same logic as cell phone.

42 Software + SaaS subscriptions

SCHED E LINE 19 · PUB 535 · \$400–\$2,000/yr

PriceLabs, Hostfully, AirDNA, Touch Stay, Properly, QuickBooks, password manager, accounting software — all 100% deductible business tools.

43 Education + courses (improving existing business) [⚠️ VERIFY](#)

SCHED E LINE 19 · PUB 535 · \$200–\$2,000/yr

STR conferences, online courses, books on STR investing, professional development. Must improve an EXISTING trade or business — pre-launch education isn't deductible.

44 Bank + credit card fees (dedicated business accounts)

SCHED E LINE 19 · PUB 535 · \$100–\$500/yr

Monthly maintenance fees, wire fees, overdraft fees on dedicated business accounts. Mix-use personal accounts don't qualify.

45 Refunds + chargebacks given to guests [⚠️ VERIFY](#)

NET AGAINST GROSS RENTS · PUB 527 · Varies

Refunds typically reduce gross rents (Line 3), not booked as expense. Capture the GROSS revenue + the refund, not just the net deposit.

46 Bad debt — unpaid bookings (accrual basis) ⚠️ VERIFY

SCHED E LINE 19 • PUB 535 • Rare

If a direct-booking guest stiffes you and you've already recognized the revenue, the bad debt may be deductible on accrual basis. Limited for cash-basis filers (most landlords).

47 QBI deduction — 20% of net rental income (§199A) ⚠️ VERIFY

BELOW THE LINE — FORM 8995 • §199A / REV PROC 2019-38 • 20% of net rental income

Not a 'deduction' — a 20% reduction of qualified business income. Safe harbor requires 250+ hrs of rental services per year + separate property records. \$30K net rental income × 24% bracket = \$1,440 saved.

The STR Ledger.

47 DEDUCTIONS • CLOSING

Take this further.

The 47 deductions in this guide are only the start. The biggest tax savings for a serious host come from doing one of two things well — depreciating the building correctly (or accelerating it via cost segregation) and structuring your activity to qualify for the STR loophole or the QBI safe harbor. Both require running the numbers, not just listing them.

Our Excel templates run those numbers. The **Single-Property P&L Tracker** (\$27 Etsy / \$47 own-site) auto-fills Schedule E Line 20 with straight-line depreciation. The **STR Mileage Log** (\$17) handles Line 7. The **1099-NEC Tracker** (\$17) catches threshold-crossing contractors before January.

FULL TEMPLATE LIBRARY

Run your rentals before they run you.

→ thestrledger.com

Important. General information for educational purposes — not tax advice. Tax law changes annually; the rates and thresholds in this guide must be confirmed against current-year IRS publications before you act on them. Consult your CPA for your specific situation. Canonical IRS references include Pub 527 (Residential Rental Property), Pub 463 (Travel/Gift/Car), Pub 535 (Business Expenses), Pub 946 (Depreciation), Pub 587 (Home Office), and Schedule E + Schedule C instructions.

